Best Practices Guidance

with Action Item Recommendations

SSI Phase III: Site Advancement

Strategic Sites Inventory Program



Prepared for

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INDIANA FOR THE BOLD
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DRAFT

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STRATEGIC SITES INVENTORY PROGRAM

Action Items

SSI Phase III: Site Advancement to Market

candidate site nomination → landowner engagment → development positioning → site programming

SSI Phase III:
Site Advancement to Market

Purpose: EDO best practices guidance for effective SSI Phase I site advancement to the open real estate market. Position site for development through zoning alignment. Prescribe steps necessary to publish sites in public-facing sites and buildings database with the minimum required documentation to support the competitive claims of the subject site.

Objectives: Provide each EDO with a clear set of site advancement action items in a logical workflow with defined outcomes. Assist EDOs with nomination of sites for advancement to market with highest and best value to community economic development. Encourage collection of site information that exceeds minimum sites and buildings database publishing requirements to create a compelling site marketing package.

Post SSI Phase III includes four primary ***site advancement actions*** for graduation to real estate market:

- **Candidate Site Nomination**
- **Landowner Engagement**
- **Development Positioning**
- **Site Programming**

Each site advancement action along with respective recommendations are presented in this document. Each recommended action item provides for an *intended outcome, rationale, and potential impediments* to consider in execution.

The Indiana Strategic Sites Inventory (SSI) Program drives identification of industrial and commercial greenfield sites with competitive advantages for economic development projects. This includes a comprehensive process for site discovery and quality screening, preliminary engineering and environmental due diligence, landowner engagement, and site marketing resource production. The SSI Program is managed in dedicated phases to ensure development readiness and protect against expenditure of resources on marginally competitive sites.

The Indiana SSI Program was initiated in 2018 with a funding grant from Duke Energy made to the Indiana Economic Development Corporation (IEDC). The SSI Program has proliferated in scope and scale with funding from Duke Energy, IEDC, NIPSCO, Wabash Valley Power Alliance, Hoosier Energy, and local contributions.

SSI Phase I: Site Discovery has been conducted for all 92 Indiana counties to identify and screen potential new high-quality megasite, tech megapark, heavy industrial, light industrial, and agribusiness, and utility-scale solar greenfield sites. SSI Phase I has produced 1,835 sites ranging in size from 25 to 5,200 acres with an average site size of 259 acres.

Indiana's local economic development organizations (LEDOs) participate in SSI Phase I local site review workshops. These site review workshops are necessary to vet potential sites for strategic inventory pursuit though input from municipal and county officials. Sites not eliminated from consideration are ranked for relative value as a community economic development real estate asset on 1.0 to 5.0 scale (1.0 = low priority, 5.0 = high priority). Sites ranked 4.0 or higher are prioritized for strategic site inventory pursuit.

Provided herein are recommendations for each LEDO to consider to ensure successful SSI Phase I site advancement to the open real estate market. Recommendations are presented in accordance with primary site advancement action items.

SSI Program designed and conducted by
LEOTTA LOCATION + DESIGN

STRATEGIC SITES INVENTORY
PROGRAM

Action Item
Candidate Site Nomination

candidate site nomination → landowner engagment → development positioning → site programming

Purpose: EDO guidance for effective SSI Phase I site advancement to the open real estate market. Prescribe steps necessary to publish sites in [YOUR STATE] sites and buildings database with the minimum required documentation to support the competitive claims of the subject site.

Objectives: Provide each EDO with a clear set of site advancement action items in a logical workflow with defined outcomes. Assist EDOs with nomination of sites for advancement to market with highest and best value to community economic development. Encourage collection of site information that exceeds minimum sites and buildings database publishing requirements to create a compelling site marketing package.

Post SSI Phase III includes four primary ***site advancement actions*** for graduation to real estate market:

- **Candidate Site Nomination**
- **Landowner Engagement**
- **Development Positioning**
- **Marketing Resource Production**

Each site advancement action along with respective recommendations are presented in this document. Each recommended action item provides for an *intended outcome, rationale, and potential impediments* to consider in execution.

Candidate Site Nomination is the first site advancement action item toward graduating an SSI Program to the open real estate market in a development-ready capacity. Care is taken here to select a sites with the best project attraction value for the host community. The goal is to advance sites to market that accomplish the following goals:

1) Development-ready based on transportation and utility infrastructure access and capacity and local entitlement factors
2) Align with viable industry targets
3) Do not compete with existing competitive industrial and commercial sites of verifiable quality
4) Have a high likelihood of surviving forma due diligence

There are six implementation recommendations for the Candidate Site Nomination Action Item:

Recommendations Summary

1. **Review SSI Sites Ranked 4+**
2. **Confirm Infrastructure**
3. **Complete SSI Phase I Site Readiness Questionnaire**
4. **Apply Industry Targets**
5. **Review Existing Site**
6. **Nominate SSI Sites for Advancement**

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Action Item
Candidate Site Nomination

candidate site nomination → landowner engagment → development positioning → site programming

1st **SSI site graduation to market** begins with **candidate site nomination**. As the first site advancement action item, care is taken here to select a site with the best project attraction value for the host community.

PRO TIP *While SSI Phase I may have produced multiple quality sites ranked 4 or higher, it is imperative that there is a high degree of confidence that a candidate site will both serve community industry targets, achieve favorable landowner negotiations, and survive development positioning (e.g., clear title, zoning compliance, entitlement burden, etc.).*

Recommendations Summary

1. **Review SSI Sites Ranked 4+**
2. **Confirm Infrastructure**
3. **Complete SSI Phase I Site Readiness Questionnaire**
4. **Apply Industry Targets**
5. **Review Existing Site**
6. **Nominate SSI Sites for Advancement**

Recommendation No. 1

Review SSI Sites Ranked 4+

Action: Review all SSI Phase I sites that achieved a 4 or higher ranking during local site review workshop. Prioritize all sites ranked 4 or higher in order of priority for site advancement consideration. Sites currently zoned for the intended project use intensity (e.g., heavy industrial, commercial, etc.) should be strongly considered as primary and backup sites for advancement. Strong consideration should be given to alignment of community industry targets with site intended project use.

Intended Outcome: Create an initial list of candidate sites to nominate for advancement to market in order of priority.

Rationale: Gain perspective on the relative value of all SSI Phase I sites ranked 4 or higher within the context of local industry targets, current economic development real estate assets on the market, and competing sites in neighboring counties in order to select the best site for market advancement. Establish focus for single site advancement with backup sites identified should priority site advancement warrant suspension due to a material defect or stall or reach an impasse during landowner engagement.

Potential Impediments: 1) internal disagreement and/or political bias resulting in prolonged decision on primary site selection, 2) since local site review workshop, site is now permitted and/or under construction with competing development, and 3) landowner has listed site on real estate market at a price too far above competitive market values.

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Action Item
Candidate Site Nomination

candidate site nomination → landowner engagment → development positioning → site programming

1st Before listing a new industrial site on the open real estate market, the subject site should be as development-ready as feasible. Adequate transportation access and the ability to readily serve potable water, sewer, natural gas, electricity, and telco/broadband utility services to the subject site is one of the single most important site competitiveness factors. Transportation/utility infrastructure access and capacities must be confirmed.

PRO TIP Proximity to the subject site utility infrastructure isn't the ultimate determination. Service capacity for each utility should be quantified even though customer use specifications are not known.

Recommendations Summary

1. Review SSI Sites Ranked 4+
2. **Confirm Infrastructure**
3. Complete SSI Phase I Site Readiness Questionnaire
4. Apply Industry Targets
5. Review Existing Site
6. Nominate SSI Sites for Advancement

Recommendation No. 2

Confirm Infrastructure

Action: Inquire with utility and transportation department personnel to confirm site access and service capacities. Quantify type, available capacities, and/or performance estimates for potable water, sewer/wastewater, natural gas, electricity, and telco/high-speed internet. Provide infrastructure location maps and line size information. Indicate roadway type and weight limits. Include planned transportation and utility asset expansions and improvements.

Intended Outcome: Ensure adequate transportation and utility access and service capacities exist for the intended land use intensity (project type) for the subject site. Communicate future infrastructure improvements. Update site maps with specific transportation and utility infrastructure location and service/performance specs.

Rationale: Adequate transportation access and the ability to readily serve potable water, sewer, natural gas, electricity, and telco/broadband utility services to the subject site is one of the single most important site competitiveness factors. Transportation/utility infrastructure access and capacities must be confirmed.

Potential Impediments: 1) lack of detailed utility maps and line size/type data, 2) unknown current utility capacity demand and unreliable available capacity determination, and 3) overly optimistic/unrealistic statements of transportation and utility infrastructure expansion and improvements.

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Action Item
Candidate Site Nomination

candidate site nomination → landowner engagment → development positioning → site programming

1st

Site data collection is serves multiple site advancement to market functions including nomination decision support, preliminary due diligence, and marketing and RFI material production. Data is the basis for every site selection effort. Unfortunately, many quality sites do not make the cut simply due to lack of thorough and accurate data.

PRO TIP

Spend the time to get in the weeds on every facet of the site and its surroundings. A thoroughly and accurately answered SSI Phase I Site Questionnaire becomes a powerful RFI response tool.

Recommendations Summary

1. Review SSI Sites Ranked 4+
2. Confirm Infrastructure
3. **Complete SSI Phase I Site Readiness Questionnaire**
4. Apply Industry Targets
5. Review Existing Site
6. Nominate SSI Sites for Advancement

Recommendation No. 3

Complete SSI Phase I
Site Readiness Questionnaire

Action: Research and compile important site metrics including information of the physical features and conditions of the subject site as well as community setting, connectivity to transportation and utility assets, planning and zoning requirements, and other data points to support the competitive claims of the site. Use the SSI Phase I Site Readiness Questionnaire to ensure all pertinent site information is collected, verified, and reported.

Intended Outcome: Thorough understanding of basic site conditions, setting, and general advantages and challenges through data research and compilation. Development of a single document for reporting all pertinent site information which will be consulted for site advancement to market decision support and future RFI responses.

Rationale: Site data compilation is often anemic. Utilization of an organized questionnaire communicating a wide array of important site data points should provide awareness for research and a guide for more detailed reporting.

Potential Impediments: 1) access to certain information, 2) ability to verify information obtained, and 3) motivation to exhaustively research information requested and report findings in detail.

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Action Item
Candidate Site Nomination

candidate site nomination → landowner engagment → development positioning → site programming

1st

A major consideration in selecting new sites for advancement to market is alignment with industry targets. Primary industry targets should drive candidate site nomination to ensure maximum ability to not only attract but land desired projects.

PRO TIP

Each community's targeted industries should be periodically recalibrated against a number of validation factors including available quality site that align with applicable land use intensities, ability to serve apposite workforce, regional competition, and current and forecasted industry sector activity. SSI site advancement to market should reflect current, viable industry targets.

Recommendations Summary

1. Review SSI Sites Ranked 4+
2. Confirm Infrastructure
3. Complete SSI Phase I Site Readiness Questionnaire
4. Apply Industry Targets
5. Review Existing Sites
6. Nominate SSI Site for Advancement

Recommendation No. 4

Apply Industry Targets

Action: Review current targeted industries and existing industrial and commercial real estate assets. Determine site-to-target alignment of site currently on market (considering only quality/competitive sites). Use findings to guide selection of new or alternative sites for advancement to market that align with primary targeted industry sectors.

Intended Outcome: Alignment of selected SSI sites for advancement to the real estate market with viable industry targets.

Rationale: Communities often have a mismatch of desired industry targets and industrial and commercial real estate assets. Industry sector sire requirements vary widely. While quality sites include many common factors, variable industry sector site needs can include total and buildable acreage, boundary configuration, surrounding land use compatibility, utility capacities, and transportation assets. Thoughtfully aligning strategic sites with viable industry targets will ensure maximum ability to not only attract but land desired projects.

Potential Impediments: 1) viable industry targets have not been identified for the community, 2) pursuit of unrealistic industry targets, and 3) failure to recognize site quality deficiencies with current real estate assets.

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Action Item
Candidate Site Nomination

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1st Not all greenfield sites currently listed on the open real estate market are of sufficient size, configuration, and/or quality to compete for good job-producing projects. However, when sites of verifiable quality are currently available for sale or lease, SSI sites should not compete with existing sties that already serve intended industry targets.

PRO TIP *SSI sites can be used as a quality benchmark for an a-political, objective comparison to sites currently on the real estate market. If sites currently on the market fall short of nationally-competitive quality standard, SSI sites should be advanced to market.*

Recommendations Summary

1. Review SSI Sites Ranked 4+
2. Confirm Infrastructure
3. Complete SSI Phase I Site Readiness Questionnaire
4. Apply Industry Targets
5. Review Existing Sites
6. Nominate SSI Site for Advancement

Recommendation No. 5

Review Existing Sites

Action: Review inventory of all existing industrial and commercial greenfield sites marketed as an economic development real estate asset. Perform general site quality assessment relative to SSI Phase I sites. Where competitive existing sites are verified, determine suitability to support viable industry targets. Use findings to guide nomination of SSI Phase I site for advancement to real estate market.

Intended Outcome: Gain a qualitative understanding of overall site quality for existing industrial and commercial real estate assets currently on the market. Provide decision support for nomination of SSI Phase I sites for advancement to market that do not compete with existing competitive sites.

Rationale: SSI Program sites should not complete with existing properties on the market that are of sufficient quality and suitability to attract and land targeted industry projects. SSI Phase I sites should be selected for advancement to market in consideration of existing industrial and commercial real estate assets.

Potential Impediments: 1) failure to recognize site quality deficiencies with current real estate assets, 2) insufficient property/site information existing to assess general site quality, and 3) not all sites that are available for sale or lease are published on open real estate market.

Strongly consider consulting assistance

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Action Item
Candidate Site Nomination

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1st Informed by a detail oriented and measured process, **candidate site nomination** can now be made with confidence. The right SSI Phase I sites will begin advancement to the real estate market that support viable industry targets, have a high likelihood of surviving site due diligence, and won't complete with competitive existing properties.

PRO TIP *SSI Phase I sites nominated for advancement to market still have a long way to go to active listing. There are several fail points along the way. Nominating multiple candidate sites that are prioritized for advancement focus will ensure the best chance of graduating an SSI Phase I site to the real estate market. Selecting backup sites is a must.*

Recommendations Summary

1. Review SSI Sites Ranked 4+
2. Confirm Infrastructure
3. Complete SSI Phase I Site Readiness Questionnaire
4. Apply Industry Targets
5. Review Existing Sites
6. **Nominate SSI Site for Advancement**

Recommendation No. 6

Nominate SSI Site for Advancement

Action: Select primary and secondary SSI Phase I sites as candidates for advancement to market. Use findings from previously completed actions items as site nomination decision support. Nominate primate and secondary sites with highest and best economic development value to the community.

Intended Outcome: Nomination of a primary site and a minimum of two backup sites assigned priority as candidate sites for advancement to open real estate market. Site advancement ready from next primary action item: Landowner Engagement.

Rationale: SSI Phase I sites nominated for advancement to market still have a long way to go to formally listing. Many sites will be immediately eliminated with unwilling-to-sell landowners. The landowner engagement process can be long and arduous and result in impasse over land price or terms. Having a working list of candidate sites prioritized by local economic development value will ensure advancement focus and the best chance of graduating to the open real estate market.

Potential Impediments: 1) Internal disagreement and/or political bias resulting in prolonged decision on primary site selection. 2) Since local site review workshop, site is now permitted and/or under construction with competing development. 3) Landowner has listed site on real estate market at a price too far above competitive market values.

Strongly consider consulting assistance

STRATEGIC SITES INVENTORY
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Action Item
Landowner Engagement

candidate site nomination | **landowner engagment** | development positioning | site programming

Purpose: EDO guidance for navigating the landowner engagement process and securing control of the subject site at a successfully-negotiated fair market value price.

Objectives: Stimulate landowner interest in placing property in the SSI Program through education, outreach, and relationship building. Conduct site visit to confirm site condition and suitability for development. Negotiate fair market value sale or lease price. Secure real estate purchase option agreement.

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Landowner Engagement is the second site advancement action item toward graduating an SSI Program to the open real estate market. While contacting property owners is very much a local function, the SSI Phase III provides best practices, strategy development, and proven tactics for stimulating landowner interest. The is only one opportunity to make a good impression. Successful landowner engagement requires doing your homework, having a customized communications strategy, and tools for effective negotiation.

2nd Action Item: Landowner Engagement
Recommendations Summary

1. **Conduct Anonymous Property Research**
2. **Develop Communication Strategy**
3. **Initiate Landowner Contact**
4. **Conduct Limited Property Appraisal**
5. **Conduct Site Visit**
6. **Obtain Letter of Intent**
7. **Perform Title Research**
8. **Negotiate Land Price**
9. **Secure Real Estate Purchase Option Agreement**
10. **Enter Site in EDPA Database**

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